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Managing Personal Communications: Direct and Interactive Marketing, Word of Mouth, and Personal Selling

Marketing Management, 13th ed

Chapter Questions

- How can companies integrate direct marketing for competitive advantage?
- How can companies do effective interactive marketing?
- How can marketers best take advantage of the power of word of mouth?
- What decisions do companies face in designing and managing a sales force?
- How can salespeople improve selling, negotiating, and relationship marketing skills?

Cokes Embraces Interactive Marketing with MyCoke.com



What is Direct Marketing?

Direct marketing is the use of consumer-direct channels to reach and deliver goods and services to customers without using market middlemen.

Direct Marketing Channels

Direct mail

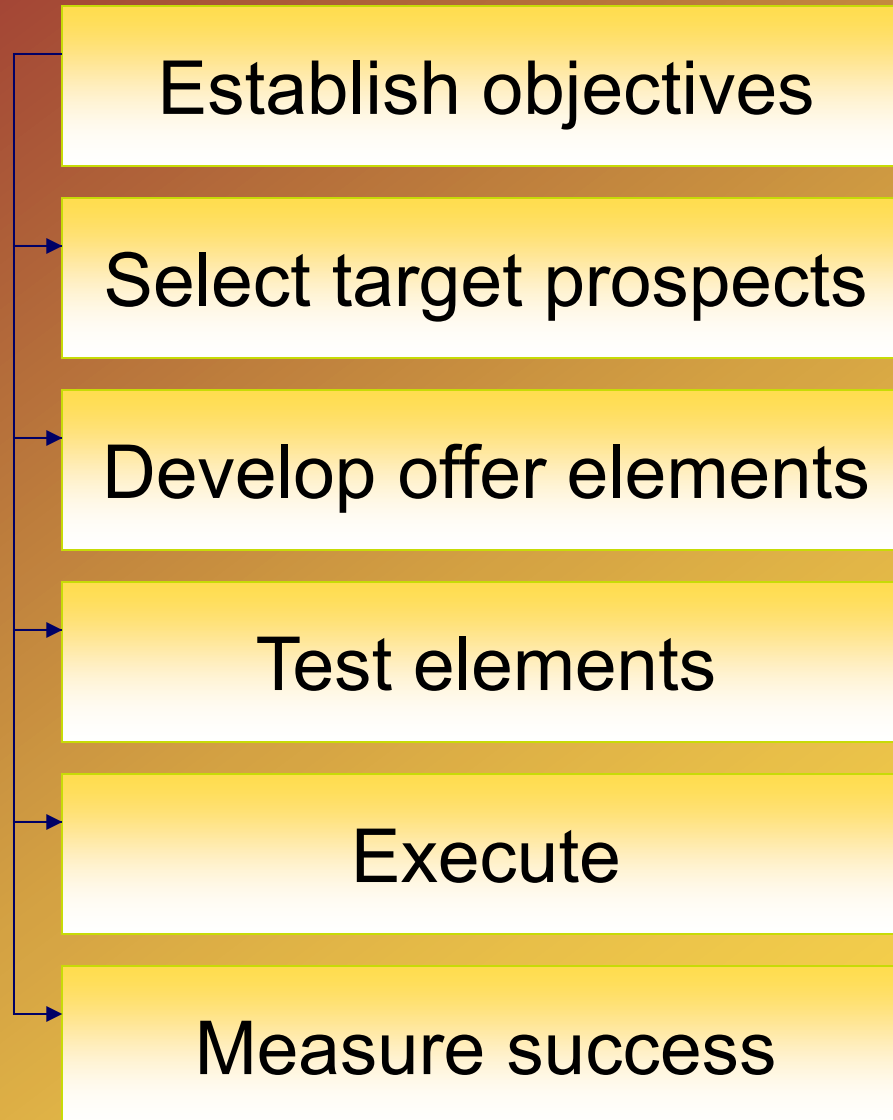
Catalogs

Telemarketing

Other direct response



Constructing a Direct-Mail Campaign



RFM Formula for Selecting Prospects



Recency

Frequency

Monetary value



Elements of the Offer Strategy

- Product
- Offer
- Medium
- Distribution method
- Creative strategy



Components of the Mailing

- Outside envelope
- Sales letter
- Circular
- Reply form
- Reply envelope

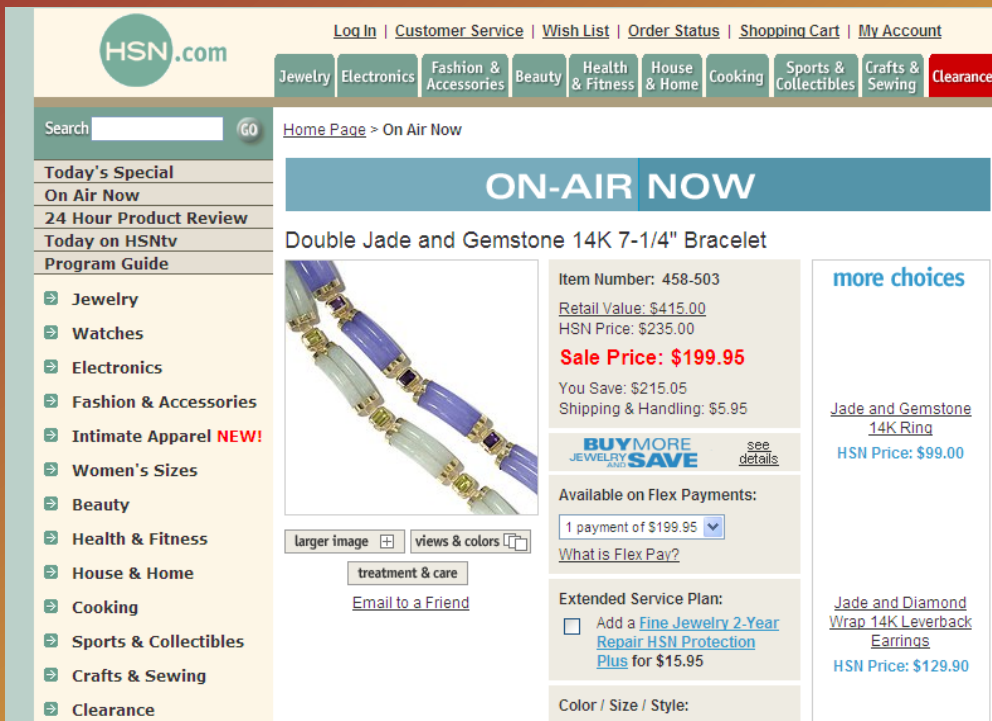


Types of Telemarketing



- Telesales
- Telecoverage
- Teleprospecting
- Customer service and technical support

Other Media for Direct Response



Television

- Direct Response Advertising
 - At-home shopping channels
 - Videotext
- ## Kiosks

Public Issues in Direct Marketing



Irritation

Unfairness

Deception/fraud

Invasion of privacy

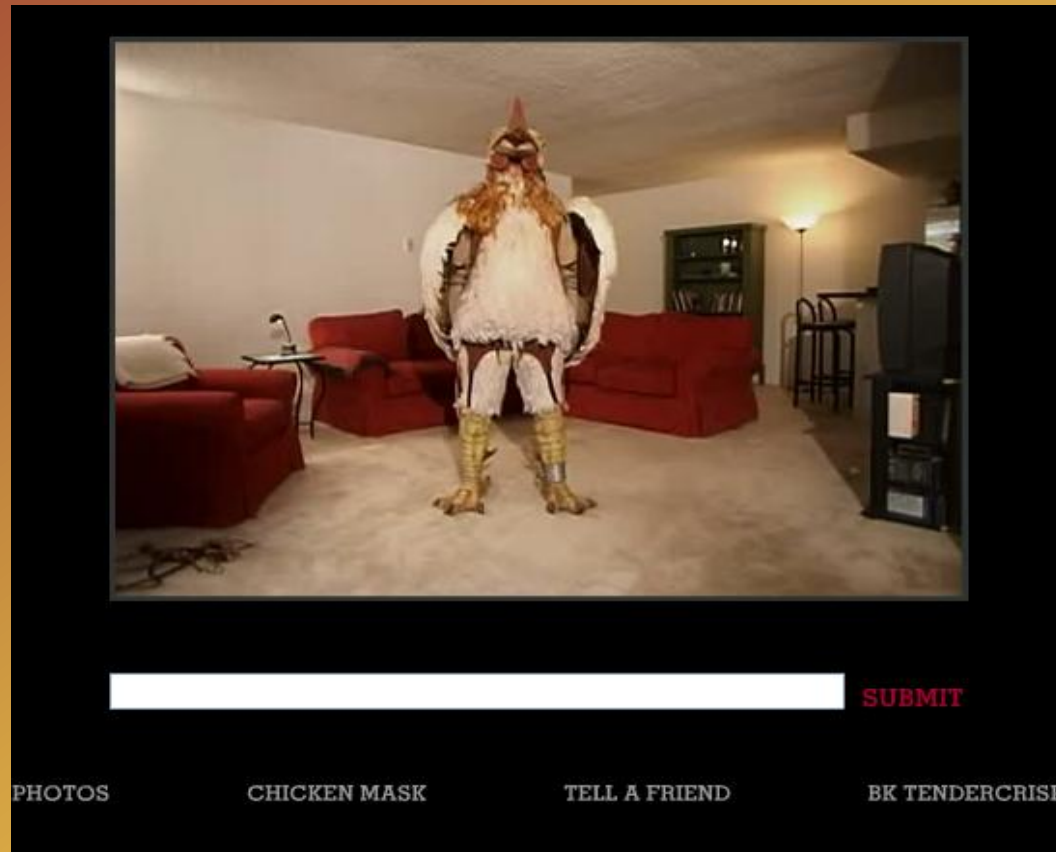
Interactive Marketing

- Tailored messages possible
- Easy to track responsiveness
- Contextual ad placement possible
- Search engine advertising possible
- Subject to click fraud
- Consumers develop selective attention

Online Promotional Opportunities

- Websites
- Microsites
- Search ads
- Display ads
- Interstitials
- Internet-specific ads and videos
- Sponsorships
- Alliances and affiliate programs
- Online communities
- Email
- Mobile marketing

A Microsite: Burger King's Subservient Chicken



iTunes Affiliate Program



iTunes Affiliates

You're invited to partner with iTunes - the world's #1 music download store. To date, iTunes has sold more than 300 million songs, providing music fans with the best digital music experience on PC or Mac. Now you can be part of the excitement by joining the [iTunes Affiliate Program](#).*

Join Now

As an iTunes Affiliate, you can:

-  **Make money.** Earn 5% commission on all qualifying revenue generated by links to iTunes on your website and in email (terms apply).
-  **Link to music and audiobooks.** iTunes has over one million tracks from all four major labels and 600 independents, plus 8000 audiobooks.
-  **Enhance your website.** Access Apple-designed marketing materials for us on the web, in email, and in online promotions.
-  **Be in the know.** The iTunes Affiliates newsletter will keep you up to date on new releases, special promotions, and more.
-  **Apply to the Apple Store Affiliate Program,** with a wide selection of exciting products, including the best-selling iPod and iPod mini.

[Frequently asked questions](#) and answers about iTunes Affiliates.

* iTunes Affiliates available for U.S. iTunes Music Store only. Subject to [Terms and Conditions](#)

e-Marketing Guidelines

- Give the customer a reason to respond
- Personalize the content of your emails
- Offer something the customer could not get via direct mail
- Make it easy for customers to unsubscribe

Word-of-Mouth Marketing is Empowered by Social Networks



myspace.com
a place for friends

Privacy | Help | SignUp

Search powered by Google

Home | Browse | Search | Invite | Film | Mail | Blogs | Favorites | Forum | Groups | Events | MySpace TV | Music | Comedy | Classifieds

Cool New Videos 75,195 uploaded today!

- Extreme Soccer Skills**
Schrute Canal
- Superhero Movie Trailer**
Trailer park
- Rockabilies In Japan**
Torren
- Super Bowl Rap Song**
Paul Brogan

Member Login

E-Mail:

Password:

☐ Remember Me

[Forgot your password?](#)

Find Your Friends on MySpace

✓ Check your [Yahoo!](#), [Hotmail](#) and [AOL](#) contacts and find them on MySpace!

Cool New People

JAVIER don jim

How to Start Buzz

- Identify influential individuals and companies and devote extra effort to them
- Supply key people with product samples
- Work through community influentials
- Develop word-of-mouth referral channels to build business
- Provide compelling information that customers want to pass along

Figure 19.4 Designing a Sales Force



Types of Sales Representatives



- Deliverer
- Order taker
- Missionary
- Technician
- Demand creator
- Solution vendor

Sales Tasks

- Prospecting
- Targeting
- Communicating
- Selling
- Servicing
- Information gathering
- Allocating

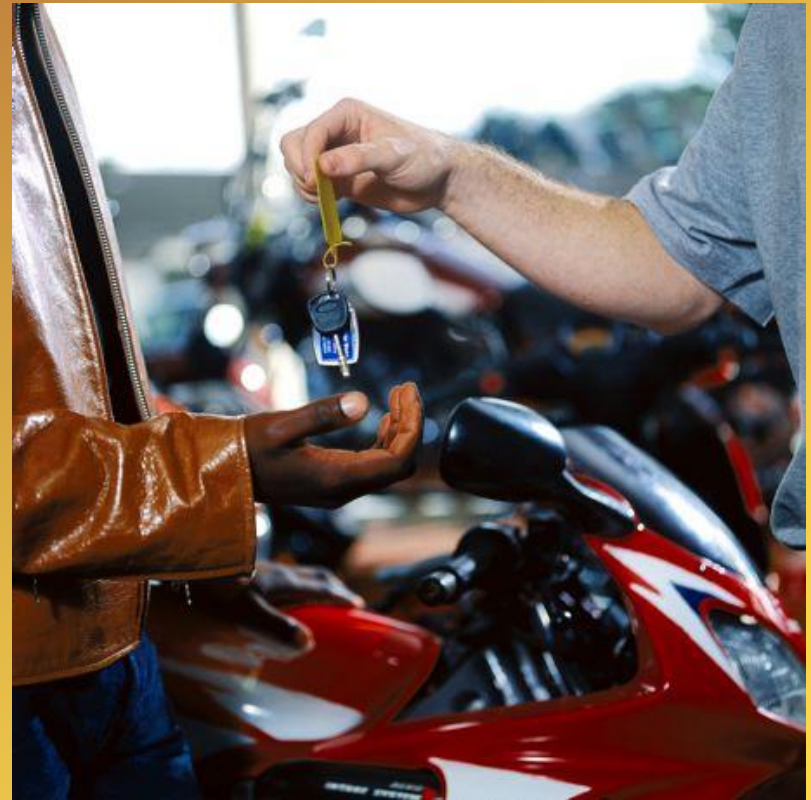


Figure 19.7 Managing the Sales Force



Workload Approach to Determining Sales Force Size

- Customers are grouped into size classes
- Desirable call frequencies are established
- Number of accounts in each size class multiplied by call frequency
- Average number of calls possible per year established
- Number of reps equal to total annual calls required divided by number possible

Components of Sales Force Compensation



Fixed amount

Variable amount

Expense allowances

Benefits

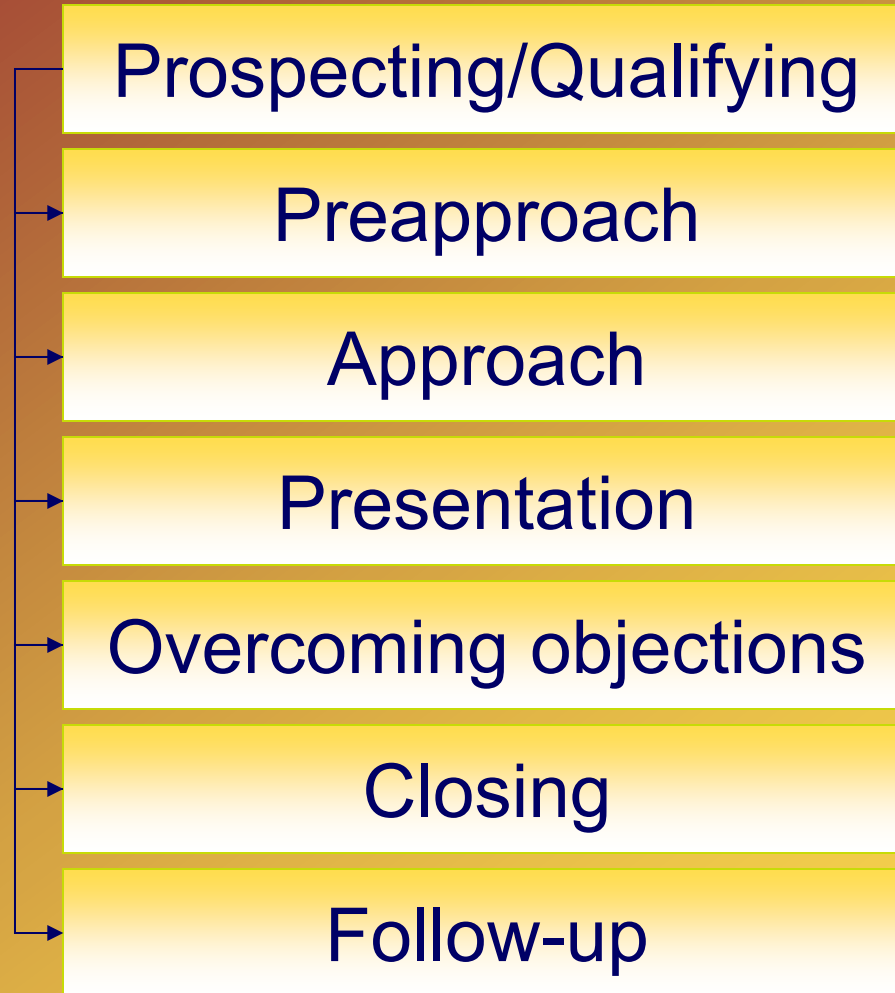
Table 19.1 Form for Evaluating Performance

Territory: Midland Sales Representative: John Smith		2004	2005	2006	2007
1. Net sales product A		\$251,300	\$253,200	\$270,000	\$263,100
2. Net sales product B		423,200	439,200	553,900	561,900
3. Net sales total		674,500	692,400	823,900	825,000
4. Percent of quota product A		95.6	92.0	88.0	84.7
5. Percent of quota product B		120.4	122.3	134.9	130.8
6. Gross profits product A		\$50,260	\$50,640	\$54,000	\$52,620
7. Gross profits product B		42,320	43,920	55,390	56,190
8. Gross profits total		92,580	94,560	109,390	108,810
9. Sales expense		\$10,200	\$11,100	\$11,600	\$13,200
10. Sales expense to total sales (%)		1.5	1.6	1.4	1.6
11. Number of calls		1,675	1,700	1,680	1,660
12. Cost per call		\$6.09	\$6.53	\$6.90	\$7.95
13. Average number of customers		320	24	328	334
14. Number of new customers		13	14	15	20
15. Number of lost customers		8	10	11	14
16. Average sales per customer		\$2,108	\$2,137	\$2,512	\$2,470
17. Average gross profit per customer		\$289	\$292	\$334	\$326

Principles of Personal Selling

- Situation questions
- Problem questions
- Implication questions
- Need-payoff questions

Figure 19.8 Steps in Effective Selling



Marketing Debate

✓ Are great salespeople born or made?

Take a position:

1. The key to developing an effective sales force is selection.

or

2. The key to developing an effective sales force is training.

Marketing Discussion

- ✓ Pick a company and go to the Website.
- ✓ How would you evaluate the site?
- ✓ How well does it score on the seven C's design elements?